

provide a more realistic performance gauge. It's odd that bear markets (20%) show better performance for bullish patterns than do bull markets (13%).

Breakeven failure rate. The breakeven failure rate is a measure of how often price fails to rise more than 5% after the breakout.

The bull market results are about what you'd expect for a chart pattern. However, the bear market failures are unusually low. As I mentioned, I checked the data and couldn't find an explanation for this except to say, it is what it is. The performance rank of fourth (where 1 is best) also suggests good performance in bear markets, hence the low failure, too.

Table 76.2 General Statistics

Description	Bull Market	Bear Market
Number found	5,084	1,167
Average rise to ultimate high	35%	32%
Average rise to EPA	13%	20%
Breakeven failure rate to ultimate high	15%	5%
Breakeven failure rate to EPA line	13%	2%
Time to reach ultimate high	120 days	48 days
Time to reach EPA line	17 days	12 days
How many change trend?	40%	49%

The failure rate as price attempts to reach the EPA line is smaller (which is good) than when price rises to the ultimate high. The result measures from the low at turn 5 to the EPA line, and it's another gauge of how many patterns fail to rise more than 5%.

Time to reach. The time to reach the ultimate high is a function of how high the average rise is. It's going to take more time to reach the ultimate high (a 35% average rise in bull markets in 120 days) compared to price rising to the EPA line (a 13% rise in 17 days).

A check of the math says that the rise to the EPA line is more than twice as fast as the rise to the ultimate high. That's good news for swing traders. You